

Investments by the Court. — Previously to these Acts the Court had, even where an express power existed to lend on real security, refused to exercise it by sanctioning a loan on mortgage, on the ground that in ninety-nine cases out of a hundred the expense of the mortgage more than counterbalanced the increase of income (*f*). But the rule has since been relaxed (*g*).

[*314] *15. **Where no express power, trustees may invest in Three per Cent. Consols.** — In the absence of express powers created by the settlement and irrespective of powers conferred by statute, trustees, executors, or administrators have always been held justified in investing in one of the *Government* or *Bank Annuities*; for here, as the directors have no concern with the principal, but merely superintend the payment of the dividends and interest till such time as the Government may pay off the capital, it is not in their power, by mismanagement or speculation, to hazard the property of the shareholder (*a*). It should be observed that all *public* annuities are not necessarily *Government* annuities (*b*); and of the Government or Bank Annuities, the one which the Court thought proper to adopt was the *Three per Cent. Consolidated Bank Annuities*, the fund which at the time when the rule of the Court was established was considered from its low rate of interest the least likely to be determined by redemption (*c*). If a trustee, who has money in hand which he ought to render productive, invest it on this security, he has done his duty, and will not be answerable for any subsequent depreciation (*d*).

(*f*) *Barry v. Marriott*, 2 De G. & Sm. 491; and see *Ex parte Franklyn*, 1 De G. & Sm. 531.

(*g*) See *Ungless v. Tuff*, 9 W. R. 729.

(*a*) *Trafford v. Boehm*, 3 Atk. 444, per Lord Hardwicke.

(*b*) *Sampayo v. Gould*, 12 Sim. 435.

(*c*) See *Howe v. Earl of Dartmouth*, 7 Ves. 151. In reference to the New Three per Cent. Annuities (formerly Three and a Quarter per Cent.), it is to be observed that,

though specially exempted from further reduction until 1874, which the Three per Cent. Consols were not, the latter are protected by a legislative provision requiring a year's notice to be given before redemption.

(*d*) *Ex parte Champion*, cited *Franklin v. Frith*, 3 B. C. C. 434; *Powell v. Evans*, 5 Ves. 841, and *Howe v. Earl of Dartmouth*, 7 Ves. 150; *Knight v. Earl of Plymouth*, 1 Dick. 126, per Lord Hardwicke; *Peat v. Crane*, cited *Hancom v. Allen*, 2 Dick. 490, note; *Clough v. Bond*, 3